

Signed sealed and delivered
by the above-named Dame
Ruth Moore Lee in the
presence of } (Signed) RUTH MOORE
LEE.

L.S.

FAITH MOORE, Spinster,
17, Berkeley Square,
London, W.

EDWARD HENRY CARSON, M.P., P.C.,
5, Eaton Place,
London, S.W.

Signed sealed and delivered
by the above-named
Allan Ernest Messer and
Arthur Edward Nicholls
in the presence of

(Signed) **ALLAN E.
MESSER.**

(Signed) **ARTHUR E.
NICHOLLS.**

L.S.

L.S.

W. A. FRITH, Solicitor,
IRENE SAUNDERS, Spinster,
Clerks with Messrs. Lawrance, Webster & Nicholls,
Solicitors,
14, Old Jewry Chambers, E.C.

Sealed with the Official Seal
of the Public Trustee in
the presence of— } (Signed) C. J. STEWART,
Public Trustee.

**J. STOCKER, Civil Servant,
Public Trustee Department,
Kingsway, W.C.**

The
Official Seal
of the
Public
Trustee.

CHAPTER 56.

An Act to confirm and give effect to a certain Agreement relating to the Compensation to be paid in respect of the Control of Coal Mines and other Matters arising out of such Control. [6th February 1918.]

WHEREAS provision is made by Regulation 9G of the Defence of the Realm Regulations for the control of coal mines to which that regulation is applied by order of the Board of Trade :

And whereas by virtue of orders of the Board of Trade dated respectively the twenty-ninth day of November nineteen hundred and sixteen and the twenty-second day of February

nineteen hundred and seventeen, the said regulation has been applied to all coal mines in the United Kingdom :

And whereas the Board of Trade have appointed a Controller of Coal Mines to control mines of which possession has been taken under the said regulation :

And whereas questions have arisen as to the compensation to be paid to the owners of the several mines so controlled in respect of control and with respect to other matters arising out of such control :

And whereas for the purpose of settling such questions an agreement dated the twentieth day of July nineteen hundred and seventeen, which agreement is set out in the Schedule to this Act, has been made, and it is expedient that the said agreement should be confirmed by Parliament and made binding on all persons whom the said agreement affects or purports to affect :

Be it therefore enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :

Confirmation
of agreement.

1.—(1) The above-recited agreement of the twentieth day of July nineteen hundred and seventeen, together with all rights and powers conferred and all duties and obligations imposed thereby on the Controller of Coal Mines, the Commissioners of Inland Revenue, the Board of Referees, or any other persons, is hereby confirmed, and the said agreement shall have effect as if enacted in this Act, and shall be binding on the owners (including trustees) of any coal mine to which the said Regulation 9G is for the time being applied, and upon all persons whom the agreement affects.

(2) If after the date of the passing of this Act any person without reasonable cause fails as and when so required to give a return or to furnish any information or to produce or give facilities for the inspection of any books, plans, or documents which, under the said agreement, he may be liable to give, furnish, or produce, or knowingly gives any information which is false in any material particular, or knowingly discloses or makes use of, for any purpose other than for such purpose as is authorised by the said agreement, any information acquired by him under the said agreement, he shall, on summary conviction, be liable to a fine not exceeding one hundred pounds, and in the case of a continuing offence to a further fine of ten pounds for each day during which the offence continues.

Where any such offence as aforesaid is committed by a company every director and manager of the company who knowingly authorises or permits the default, shall be liable to the same penalties as the company.

(3) Nothing in this Act or in the agreement confirmed thereby shall, except as otherwise expressly provided by the

agreement, affect the general powers of the Board of Trade or the Controller of Coal Mines under the said regulation.

(4) References in the said agreement to the Controller of Coal Mines shall be deemed to include any person for the time being appointed to hold that office, and in the event of the office of Controller of Coal Mines being vacant or ceasing to exist shall be deemed to include the Board of Trade :

(5) Provided that nothing in this Act shall extend to apply the terms of the said agreement to the owners of any coal mine in respect of coke ovens or by-product plant belonging to them.

2. If the Controller of Coal Mines determines the said agreement, the agreement shall have effect in respect of any part of an accounting period which may have elapsed at the time of the determination thereof.

Provisions applicable in the event of agreements being determined.

3.—(1) Sums collected by the Commissioners of Inland Revenue under the said agreement shall be paid into such account as the Controller may direct.

Accounts and audit.

(2) Payments into and out of the said account shall be made, and all other matters relating to the administration of that account and to the money standing to the credit of the account (including the investment of any such money) shall be regulated in such manner as the Treasury may direct.

(3) At the end of every financial year accounts of the payments into and the expenditure defrayed out of the said account shall be made up in such form and with such particulars as may be directed by the Treasury, and shall be audited by the Comptroller and Auditor-General as public accounts in accordance with such regulations as the Treasury may make, and shall be laid before Parliament with a report thereon.

4. Any person who may obtain any information which by virtue of clause twenty of the said agreement is to be treated as confidential shall be required to make a declaration of secrecy in such form as may be prescribed by the Board of Trade, and any person who has made such a declaration shall for the purposes of section thirty-eight of the Income Tax Act, 1842, and the declarations made thereunder, be treated in relation to the disclosure of information under clause nineteen of the said agreement as if he was a person sworn to the due execution of the said Act.

Provision as to secrecy.

5 & 6 Vict. c. 35.

5. The said agreement shall, if not previously determined, cease to have effect at the expiration of six months after the termination of the present war.

Duration of agreement

6. The Controller of Coal Mines or, as the case may be, the Board of Trade may sue or be sued for breach of the above recited agreement.

Powers of suing and being sued.

Saving for persons who have lent money to the owners of coal mines.

7. Nothing in this Act shall deprive any person upon whom the agreement contained in the schedule is not made obligatory of any right to require the repayment of money owing to him by a person upon whom the agreement is made obligatory by this Act.

Definition.

8. Regulation 9G of the Defence of the Realm Regulations means that Regulation as in force at the date of the passing of this Act.

Short title.

9. This Act may be cited as the Coal Mines Control Agreement (Confirmation) Act, 1918.

SCHEDULE.

COAL MINES CONTROL AGREEMENT.

1. For the purposes of this Agreement—

“The Act” means the provisions of the Finance (No. 2) Act, 1915, relating to Excess Profits Duty, as amended or explained by any subsequent enactment, and any reference to any particular provision of the Act means that provision as so amended or explained;

“Controller” means the person appointed by the Board of Trade to control coal mines of which possession has been taken under Regulation 9G of the Defence of the Realm Regulations;

“Undertaking” means the whole of the undertaking of the owner of a coal mine which is for the time being under control of the Controller, except such parts of the undertaking as are controlled establishments within the meaning of the Munitions of War Acts, 1915 and 1916, or are under the control of the Controller of Shipping, and such other parts (if any) as the Controller may exclude from the operation of this Agreement;

“Mine” means one or more pits or workings with a common system of ventilation or any part of a system of ventilation in common;

“Profits standard” means the profits standard determined in accordance with the Act, and the percentage standard shall in no case be taken to be the standard for the purposes of this Agreement;

“Output” means the tonnage of saleable coal raised and weighed at the pit head;

“Standard output” means the annual average output of coal during the standard period; but if the accounting period is less than a year the amount of the standard output shall be proportionately reduced;

“Standard period” means the years which have been chosen or may be chosen for the determination of the profits standard under the Act;

“Accounting period” in relation to any undertaking means an accounting period under the Act.

2. Subject to the right of the Controller at any time to take over in whole or in part the management either of all undertakings generally or

of the undertakings in any particular district or of individual undertakings, the several undertakings shall continue under their existing management, and nothing in this Agreement shall be construed as affecting the right of the Controller to discontinue the control of any undertaking, or any part thereof ; except that he shall not discontinue the control of a mine which or any part of which has been closed by his direction

3. The owner of an undertaking shall be entitled to retain the profits thereof, except that if in any accounting period the profits exceed the profits standard by more than the amount mentioned in section thirty-eight (1) of the Act, the owner shall be entitled to retain only so much of those profits as is equal to the amount of the profits standard plus the amount so mentioned, with the addition thereto of an amount equal to one-fourth part of such excess remaining after the deduction therefrom of a percentage equal to the rate of excess profits duty for the time being in force, and the balance of the profits, less the amount paid or payable for excess profits duty in respect of the accounting period in question, without deduction therefrom of any set off in respect of any other period, shall be paid by the owner to the Commissioners of Inland Revenue as hereinafter provided, and the sums so payable by the owner are in this Agreement referred to as "coal mines excess payments" :

Provided that—

- (a) if the owner of the undertaking proves that the special standard hereinafter mentioned has been ascertained, and that the payment of the coal mines excess payment or any part thereof would reduce or has reduced the profits retained by him below the special standard, the payment of the coal mines excess payment or such part thereof, where the proof is before the date when the coal mines excess payment becomes payable, shall be remitted, and, where the proof is after that date, if paid, shall be refunded ; and
- (b) subject as aforesaid, in no case shall the total amount of profits retained under this clause exceed six-fifths of the profits standard plus the amount mentioned in section thirty-eight (1) of the Act ; and
- (c) where an undertaking forms part only of a trade or business assessed or assessable to excess profits duty the foregoing provisions of this clause shall apply, subject to the following modifications :—

- (i) the profits standard for the undertaking shall be a standard determined in accordance with the Act based on so much of the profits or losses taken into account in determining the profits standard of the trade or business as may be properly attributable to the undertaking ;

- (ii) the profits of the undertaking for the accounting period shall be so much of the profits or losses of the trade or business for the accounting period as may be properly attributable to the undertaking ;

- (iii) for the reference to the amount payable for excess profits duty there shall be substituted a reference to the amount which would have been payable for excess profits duty if the undertaking had been separately assessable to that duty with the profits standard referred to in (i) ;

- (iv) The apportionments under sub-paragraph (c) of this proviso shall be made by the Commissioners of Inland Revenue, subject to the like appeal as in the case of questions arising under the Act.

4. Where as respects any accounting period the profits of any undertaking retained by the owner are less than the guaranteed standard as hereinafter defined, or if there is a loss or the loss is greater than the guaranteed standard, when that standard is a negative quantity, such sum as may be required to make up the guaranteed standard, shall, subject to the provisions of clause 13, be paid to the owner by the Controller.

5. For the purposes of sub-paragraph (a) of the proviso to clause 3, and of clause 4, profits retained, and for the purposes of clause 4, loss, shall be profits or loss after taking into account any refund of excess profits duty on account of the deficiencies in the accounting period attributable to the undertaking and any refund of coal mines excess payment.

6. If the stock of coal at the end of the period of control of any undertaking is in excess of that at its commencement, the profit or loss on such excess when sold, as compared with the valuation in the balance sheet at the end of the period of control, shall for the purpose of determining the amount to be paid to make up the guaranteed standard in respect of the last accounting period be brought to account as though the realisation had taken place in that period.

7. The expression "The Guaranteed Standard" means—

- (a) when the output of the undertaking in any accounting period is not less than the standard output, the profits standard; or
- (b) where the output of the undertaking in any accounting period is less than the standard output, but amounts to at least 65 per cent. thereof, the profits standard reduced by a percentage thereof equal to three-fourths of the percentage of the reduction of output; or
- (c) where the output of the undertaking in any accounting period is less than 65 per cent. of the standard output, the profits standard subject to such reduction as may be fixed under clause 10.

8.—(1) If at any time, in the case of any undertaking, it appears to the Controller, either on his own motion or on the motion of the owner, that there is no profits standard or that the profits standard as ascertained under the Act cannot fairly be applied, the Controller shall fix, for the purpose of ascertaining the guaranteed standard, or the special standard, as a substitute for the profits standard, a sum equal to the average annual profits which might have been actually earned during the standard period—

- (a) had the undertaking been worked during the standard period under similar conditions in all respects excluding conditions due to the war to those under which the undertaking is worked in the accounting period; and
- (b) in the case of an undertaking which or part of which in the standard period was in course of development had the undertaking or such part thereof been as fully developed in that period as in the accounting period;

and, if it appears that the undertaking would have been run at a loss, the sum so fixed may be a negative quantity.

(2) In any case of hardship where a fair substitute for the profits standard cannot be fixed in accordance with the provisions of the foregoing sub-clause, the owner may apply to the Controller to fix a substitute without regard to those provisions, and if the Controller grants the

application he shall fix such substitute for the profits standard as he thinks fair in the circumstances, and the amount so fixed shall be subject to appeal as provided by clause 11 hereof, but if the Controller refuses the application his decision shall be final.

9. The expression "The Special Standard" means the sum fixed as a substitute for the profits standard under clauses 8 or 11 hereof, with the addition thereto of the amount mentioned in section thirty-eight (i) of the Act, and of an amount equal to one fourth part of the excess of the profits of the undertaking over such substitute (plus such addition) remaining after deducting from such excess a percentage equal to the rate of excess profits duty for the time being in force.

10. If the output of the undertaking in any accounting period is less than sixty-five per cent. of the standard output, the guaranteed standard shall be the profits standard, subject to such reduction as the Controller may fix, and may be a sum varying according to the output: provided that—

- (a) so far as the decrease in output is due to action by the Controller not common to the whole of the coal industry under his control, the guaranteed standard shall be calculated at a rate per ton of output, regard being had only to the tonnage which would have been raised and the comparative cost of raising it had there been no such action by the Controller, and shall be greater than that which would be fixed if the rule for ascertaining the guaranteed standard in the case of an undertaking where the reduction of output was thirty-five per cent. or less applied, so however that the guaranteed standard shall in no such case exceed the amount which would have been the guaranteed standard if the reduction of output had been thirty-five per cent.; and
- (b) so far as the decrease in output is due to any other cause, the guaranteed standard shall be less than would have been fixed if the said rule applied, and shall be calculated at a rate per ton of output, regard being had only to the tonnage raised and what it would have cost to raise such tonnage in the standard period;
- (c) in either case, if a mine is closed, the guaranteed standard shall not include any sum in respect of the cost of maintaining the mine in a state of repair or of reopening it or any rent, royalties, wayleaves, management or other similar charges, in respect thereof.

11. If the owner of any undertaking feels aggrieved at the refusal of the Controller to fix a substitute for the profits standard under sub-clause (1) of clause 8, or at the amount fixed by him under either sub-clauses (1) or (2) of clause 8, or under clause 10, he may appeal to the Board of Referees appointed under the Act, who shall determine their procedure in hearing and disposing of any such appeal, and that Board may either confirm or revoke the decision of the Controller, or, where an amount has been fixed by the Controller, may vary, whether by way of increase or decrease, the amount so fixed, so, however that in making such variation the Board shall be subject to the limitations imposed by this agreement on the Controller in fixing the amount, and the decision of the Board shall be final.

12. Where an undertaking is subject to control during part only of an accounting period the profits standard or the special standard, as the case may require, and the guaranteed standard and any other sums brought

into account in calculating the sums retainable under clause 3 or payable under clause 4 shall, for the purposes of applying this agreement to such part of such accounting period, be proportionately reduced, and the profits for that period shall be apportioned between the parts of the period before and after the date of the commencement of the control in proportion to the number of months or fractions of months in those parts respectively.

13. Any profit retained by the owner under clause 3 of this Agreement in any accounting period in excess of the guaranteed standard, except in so far as such profits may be made up by a refund of excess profits duty on account of deficiencies in that period, shall be set off against any amount to be paid to the owner under clause 4 of this Agreement to make up the guaranteed standard in respect of any subsequent accounting period, and any sum paid under clause 4 to the owner to make up the guaranteed standard in respect of any accounting period shall be made good out of any excess over the guaranteed standard which the owner is entitled under clause 3 to retain in respect of any subsequent accounting period.

14. If the owner of a mine intends to close or abandon the mine or any part thereof he shall give to the Controller not less than sixty days notice of his intention, and if before the expiration of the notice the Controller directs that the mine or such part thereof shall not be closed or abandoned, the mine shall continue to be carried on in accordance with the direction of the Controller, and thereupon the guaranteed standard applicable to the particular undertaking shall forthwith by agreement between the Controller and the owner, or failing such agreement, then by the Board of Referees appointed under the Act be revised and fixed at such an amount (positive or negative) as will under the operation of clause 4, indemnify the owner against any loss caused to him by continuing to carry on the mine or such part thereof which he would not have suffered if he had been permitted to close or abandon the mine or such part thereof.

If no such directions are given by the Controller, the mine or such part thereof as aforesaid, shall, unless otherwise agreed between the Controller and the owner, be closed at the expiration of the notice, or abandoned at the earliest date at which the owner shall have power to abandon it under the conditions of his tenure, and in such case if the mine or part thereof closed or abandoned does not constitute the whole undertaking, then such revision shall be made in the amount of the guaranteed standard of the remainder of the undertaking as may be agreed between the Controller and the owner, or settled, in default of such agreement, by the said Board of Referees.

15. Except as otherwise provided in this Agreement, and so far as not repugnant thereto, profits shall be the amount of the profits as determined or determinable under the Act and excess of profits over the profits standard for the purposes of this Agreement shall be computed and coal mines excess payments shall be assessed and collected by the Commissioners of Inland Revenue in like manner as the excess of profits over the profits standard for the purposes of excess profits duty is computed and payments of that duty are assessed and collected, and the provisions of the Act (including those relating to appeals) shall apply accordingly :

Provided that no excess profits duty paid in respect of a period prior to the time when the control of the undertaking in question commenced shall be repayable by reason of any deficiency created by coal mines excess payments in respect of any period whilst the undertaking was subject to control, nor shall any coal mines excess payment be applied to make good deficiencies or losses for which excess profits duty would be repayable.

16. Nothing in this Agreement shall prevent coal mines excess payments or any repayments thereof being treated for purposes of income tax as payments and repayments of excess profits duty are treated under section thirty-five of the Act, nor shall this Agreement—

- (a) confer any right to have the profits retained under clause 3 together with any further sums received under clause 4 to make up the guaranteed standard treated for the purpose of income tax, super-tax, or excess profits duty otherwise than as the profits of carrying on the trade or business ; or
- (b) be deemed to constitute any claim for an amendment of an assessment under section one hundred and thirty-three or section one hundred and thirty-four of the Income Tax Act, 1842, nor to affect any such claim which, but for this Agreement, the owner would have been entitled to make under either of those sections.

17. The owner of every undertaking shall keep and furnish to the Controller at such times and in such form as the Controller may determine such cost accounts, trading accounts, and balance sheets and other accounts as the Controller may require, audited and verified in such manner as he may direct, and if part only of the undertaking is under the control of the Controller, entirely separate accounts of the portion of the undertaking under such control shall be kept, and the price charged on departmental transactions between the controlled portion of the undertaking and any other portion thereof shall be on a commercial basis, and such as may from time to time be approved by the Controller.

18. The Controller or any person appointed by him in that behalf may require the owner of any undertaking and any director, manager, or officer of the undertaking to furnish any information which may be reasonably required by the Controller for the purposes of this Agreement, and may inspect and take copies of any books, plans, and documents relating to the undertaking, and every such owner, director, manager, and officer shall furnish to the Controller or any person appointed by him all such information as aforesaid, and shall produce all such books, plans, and documents as may be in his possession or under his control, and shall afford to such person all reasonable facilities for inspecting the same.

19. No objection shall be taken to the Commissioners of Inland Revenue making available to the Controller any information acquired by them for the purposes of income tax or excess profits duty which may be desired by the Controller for the purposes of this Agreement.

20. Any information obtained under clauses 17, 18 or 19 shall be treated as strictly confidential, and shall be used only for the purposes of His Majesty's Government or any department thereof, and no person who obtains any such information shall disclose or make use of any such information for any other purpose.

21. For the purpose of providing for the expenses of maintaining (including any rent, royalties, wayleaves, management, or other similar charges in respect thereof), and of reinstating, when reopened, any mine in any district or group of districts hereinafter referred to which may be closed by the direction of the Controller, so far as such expenses remain unprovided for after all refunds of excess profits duty arising through such expenses of maintenance and reinstatement have been exhausted, the Controller shall from time to time, on the application of any association of colliery owners in any district or of any group of such associations in several districts, cause a levy to be made on the owners of all undertakings under his control in such district or districts at such rate per ton

on the output as may be specified in such application, and every such owner shall pay the amount due by him under such levy.

The proceeds of such levy shall be paid into a fund under the control of the Controller who shall thereout pay to the association or associations on whose application the levy shall have been made, such sums as may be from time to time certified by such association or group of associations to be required for the purposes aforesaid.

The output on which any particular levy under this clause is to be payable shall be the output in the last completed calendar year before the levy is made, but at the end of the period of control the Controller shall make such adjustments as may be necessary to make the total amount paid by the several owners such as would have been payable had each levy been made on the average annual output during the period of control.

The owner of any mine which is closed whilst the mine is under control shall, if the mine is situated elsewhere than in a district in respect of which an application has been made under this clause, not be entitled to any compensation in respect of such expenses as aforesaid.

If the total net amount paid as coal mines excess payments under clause 3 during the whole period of control is certified by the Controller on the termination of control to exceed the total amount paid by him under clause 4, together with his administrative expenses, the surplus shall be applied by him in reimbursing the fund created under this clause to the extent of forty per cent. of the amounts paid thereout under the provisions of this clause.

The balance, if any, standing to the credit of any association or group of associations in the fund, including the sums paid by way of reimbursement as aforesaid, after defraying all such expenses as aforesaid, shall be the property of and paid over to the association or group of associations.

The Controller shall invest any sums which may from time to time be standing to the credit of any association or group of associations in the fund as are not immediately required for such purposes as aforesaid in such Government securities as the Controller may think fit, and may vary such investments from time to time.

If at the end of the period of control the purposes for which the said fund is created have not been fully satisfied the administration of the fund and the powers of the Controller under this clause shall be transferred to such person as the Board of Trade may appoint for the purpose.

The amount payable in respect of a levy under this clause shall not be treated for the purposes of this Agreement as part of the expenses of carrying on an undertaking.

22. No dividends shall be paid and no loans repaid in respect of any undertaking without the consent of the Controller.

23. If any dispute arises under this agreement between the Controller and the owner with respect to which the decision of the Controller is not expressly made final, and no other method for the settlement thereof is provided under this Agreement, the dispute shall be referred to the arbitration of a single arbitrator appointed in England by the Lord Chief Justice of England, or in Scotland by the Lord President of the Court of Session of Scotland, or in Ireland by the Lord Chief Justice of Ireland.

24. The terms of this Agreement shall be taken to be in full satisfaction of all claims for compensation arising in the period of the operation of this Agreement in respect of the orders of the Board of Trade dated the 29th day of November 1916 and the 22nd of February 1917, or anything done thereunder.

25. This Agreement shall be deemed to have come into operation,—

(a) in the case of mines controlled under the order of the Board of Trade dated the 29th November 1916, as from the 1st day of December 1916 ; and

(b) in the case of mines controlled under the order of the Board of Trade dated the 22nd February 1917, as from the 1st day of March 1917 ;

and may be determined by the Controller on or at any time after the first day of October nineteen hundred and seventeen.

Resolved as follows on the twenty-first day of June, nineteen hundred and seventeen, by the Executive Council of the Mining Association of Great Britain :—

“That this meeting records its view that the terms of the agreement with the Controller of Coal Mines should be further modified, but leaves to the Consultative Committee full power to make a definite settlement on the best possible obtainable terms.”

Subsequently, between the said twenty-first day of June and the twentieth day of July, nineteen hundred and seventeen, a definite settlement in the terms of the foregoing agreement was arrived at between the Controller of Coal Mines and the said Consultative Committee.

(Signed) GUY CALTHROP,
Controller of Coal Mines.

(Signed) ADAM NIMMO,
President of the Mining Association
of Great Britain.

(Signed) REGINALD GUTHRIE,
Secretary of the Consultative
Committee.

The twentieth day of July 1917.

CHAPTER 57.

An Act to provide for the foundation of Bishoprics of Bradford and Coventry and for matters incidental thereto. [6th February 1918.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :

1. The Bishoprics Act, 1878 (in this Act referred to as the principal Act), including the repealed portions thereof, shall, subject to the modifications set forth in the First Schedule to

Application of
41 & 42 Vict.
c. 68.